

NZ labour market chartpack, March quarter 2026

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#newzealand



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Our chartpack of conditions in the New Zealand labour market in early 2026, including this week's household and business surveys.



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- The Q1 labour market surveys added to the evidence that the New Zealand economy was starting to find its footing again, at least prior to the Iran conflict.

- The unemployment rate ticked down from 5.4% to 5.3%, its first decline since December 2021. This was better than the flat outturn that we and the market were expecting, though the ‘surprise’ was well within the margin of error. The broader underutilisation rate was steady at 12.9%.
- The number of people employed rose by 0.2% for the quarter, while labour force participation fell slightly to 70.4%. While this combination is unusual, it was largely driven by a small group – youth participation appears to have been overstated in the previous quarter, and was unwound this time.
- There was a further lift in average hours per worker, bringing it closer to pre-Covid levels. In the early stages of an economic recovery, it’s not surprising to see businesses trying to get more out of their existing workers, before resorting to more hiring. Indeed, the rate of movement between labour force status provides a stark demonstration of the “no-fire, no-hire” economy.
- Given the existing degree of slack in the labour market, wage inflation remains subdued and largely limited to cost-of-living adjustments.
- There was little in these surveys to concern the RBNZ ahead of its next policy review on 27 May. While the RBNZ is on alert for any signs of inflation pressures beyond the direct impact of the spike in fuel prices, wage inflation is literally the last place that this is likely to show up.

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